

Filing Type: Form, Rate, and Market Conduct Authorization (Parametric Catastrophe & Web3 Nexus)
submitted to the Florida Office of Insurance Regulation (OIR).

1. Covered Hazards & System Taxonomy

The Chainmail Ecosystem Protocol calculates catastrophe risk, pools capital reserves, and automates claims payouts under five minutes from trigger events, covering:

- **Physical Perils:** High-velocity wind events (Anemometry), storm surge/flooding (Hydrology), and barometric pressure anomalies mapped to property boundaries.
- **Technical Perils:** Smart contract exploits, Oracle transaction failure/telemetry corruption, and cross-chain messaging latency.

2. Actuarial Variables & Live Metrics

Actuarial Variable	Metric Definition	Chainmail Live Data	Regulatory Purpose
Total Value Locked (TVL)	Total Capital Base At Risk	\$42,500,000 USDC	Defines maximum exposure limits and capital reserves for solvency testing.
Mesh Security Correlation (α_i)	Interdependence of collateral assets across connected chains	$\alpha = 0.12$ (Low Contagion)	Proves a vulnerability on Chain A will not drain liquidity on Chain B.
Audit Cadence / Re-evaluation	Frequency of code integrity reviews	Continuous (Every 24 hours)	Fulfills "Dynamic Risk Monitoring" to prevent stale risk exposure.
Telemetry Data Streams	Automated physical/technical metrics	Real-time CDRs & Gas trends	Establishes untampered logs to baseline parametric trigger pricing.

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Wind Speed Trigger Threshold	Parametric boundary for payouts	Property-specific (90 mph)	Acts as the objective, non-adjustable claims trigger, bypassing human bias.

3. Pricing Formula

The premium charged (\$P\$) is computed as:

$$P = (P_{cat} \times \text{Coverage Limit}) + (P_e \times TVL \times (1 + \alpha)) + \lambda$$

Where P_{cat} is the Parametric Event Probability, P_e is the Smart Contract Exploit Probability, α is the Mesh Security Correlation, and λ is the administrative loading factor.

4. NAIC Compliance & Safety Auditing

- Explainability & Transparency:** Underwriting algorithms provide an audit trail for every quote, referencing local NOAA GRIB2 grids, structural profiling, and local sensor health.
- Algorithmic Bias Mitigation:** Pricing runs on physical risk factors (soil liquefaction, elevation, wind resistance) and excludes demographic proxies.
- Human-in-the-Loop Oversight:** Appointed Casualty Actuary (FCAS) reviews pricing curves quarterly. If anomalies occur, an emergency circuit breaker halts quotes for manual verification.

5. Asset Adequacy & AG 53 Stress Testing

- Systemic Liquidation (75% Asset Crash):** Core pool remains fully liquid due to over-collateralization requirements (minimum 150% threshold).
- Decoupling Event (Stablecoin Peg at \$0.90):** Payouts route dynamically to alternative stablecoins (USDT/USDe) to protect policyholder value.
- Conforming Peril Clustered CAT:** The mesh security correlation coefficient ($\alpha = 0.12$) guarantees capital solvency even if 45% of policies trigger payouts within a 48-hour hurricane window.